

Relative Strength Index (RSI) Trading Strategy Guide

Overview

The Relative Strength Index (RSI) is a momentum oscillator that measures the speed and change of price movements on a scale from 0 to 100.

Key Thresholds

- **Overbought Zone (>70):** Indicates that the asset may be overextended to the upside. Potential for a bearish pull-back or reversal.
- **Oversold Zone (<30):** Indicates that the asset may be oversold to the downside. Potential for a bullish rebound.
- **Neutral Midline (50):** Above 50 signifies bullish momentum preference; below 50 signifies bearish momentum.

Signal Rules & Confluence

1. **Bullish Setup:** Look for RSI turning up from below 30 or forming a bullish divergence (price makes lower low while RSI makes higher low).
2. **Bearish Setup:** Look for RSI turning down from above 70 or forming a bearish divergence (price makes higher high while RSI makes lower high).
3. **Filter Rule:** Do not take Buy signals when RSI is already above 75, as upside momentum is exhausted.